

Buffett developed a unique investment process long before he made millions, much less billions.

I'm going to do my best to convince you that, within your own financial parameters, there is no reason you cannot achieve Buffett-style success, if you integrate his tenets into your thinking and base your investment decisions on them. I can't guarantee that you can start with \$100 and end up many years later with billions, but I can guarantee that you will do better than someone with the same financial resources who depends on any one of the many speculator's schemes floating around.

So let's walk through the steps, using a hypothetical situation.

Let's pretend that you have to make a very important decision. Tomorrow you will be given an opportunity to pick one business—and only one—to invest in. To make it interesting, let us also pretend that once you have made your decision, it cannot be changed and, furthermore, you have to hold the investment for 10 years. Ultimately, the profit from this enterprise will support you in your retirement. Now what are you going to think about?

Business Tenets

Is the Business Simple and Understandable?

You cannot make an intelligent guess about the future of your business unless you understand how it makes money. Too often people invest in stocks without a clue as to how a company generates sales, incurs expenses, and produces profits. If you can understand the economic process, you are ready to intelligently proceed further in your investigation.

Does the Business Have a Consistent Operating History?

If you are going to invest your family's future in a company, you will need to know whether the company has stood the test of time. It is unlikely that you will bet your future on a new company that has not experienced different economic cycles and competitive forces. You should be assured